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Printing Away the Mortgages: Fiscal Inflation and the Post-Covid Boom

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1 Big picture

- **Question.** How can fiscal transfers and temporarily passive monetary policy jointly generate a post-Covid-style boom in output, house prices, and inflation when households hold nominal mortgage debt?
- **Main mechanism.** Transfers to borrowers raise current demand. If monetary policy does not quickly raise rates against the resulting inflation, inflation erodes the real value of fixed nominal mortgage debt, redistributing further from savers to borrowers.
- **Why mortgages matter.** Inflation does not only reduce government debt. It also reduces the real value of private nominal mortgage liabilities, shifting wealth toward younger indebted households.
- **Theoretical contribution.** In a two-agent New Keynesian model, redistribution is fundamentally different from pure government debt issuance. Debt issuance depends on the long-run fiscal/monetary regime. Redistribution depends strongly on the short-run monetary-policy response.
- **Policy regimes.** The paper compares monetary dominance, fiscal dominance, and a temporarily passive monetary policy regime that later returns to monetary dominance.
- **Key theoretical result.** An increase in government debt has no effect under monetary dominance or one-period passive monetary policy, but redistribution to borrowers can raise inflation and consumption when monetary policy is even temporarily passive.
- **Quantitative model.** The paper builds a richer model with borrowers, savers, segmented housing markets, long-term nominal mortgages, refinancing frictions, financial intermediaries, price rigidity, wage rigidity, and policy rules.
- **Calibration target.** The model is calibrated to pre-Covid U.S. data, including the Survey of Consumer Finances, HMDA mortgage refinancing behavior, interest rate spreads, and standard New Keynesian parameters.
- **Main quantitative result.** Transfers alone or passive monetary policy alone do not create a large inflation surge. The combination of transfers and passive monetary policy generates roughly a 10% inflation surge in the main experiment.
- **Redistribution result.** The joint policy reduces real mortgage debt by nearly 30% and real deposits by about 20%, redistributing from savers to borrowers.
- **Liquidity result.** Borrowers respond strongly to liquid transfers, but respond slowly and persistently to the illiquid wealth gain from mortgage debt being inflated away.
- **Recession result.** In a demand-driven recession, unemployment insurance helps, but the combination of transfers and passive monetary policy is powerful enough in the model to eliminate unemployment and generate inflation.
- **Long-run cost.** The mortgage channel has persistent effects: borrowers refinance gradually after their debt is inflated away, dampening immediate consumption but reducing labor supply for years.
- **Economic takeaway.** The post-Covid boom can be understood as a fiscal-monetary redistribution episode in which short-run monetary passivity amplified transfers and private nominal debt made inflation itself redistributive.

2 Data and measurement

2.1 Historical motivation

- The U.S. policy response to Covid involved very large fiscal transfers and social insurance spending, generating deficits of about \$3.1 trillion in 2020 and \$2.7 trillion in 2021.
- During the recovery from April 2020 to early 2022, unemployment fell from above 14% to around 4%.
- House prices increased by about 30%.
- Inflation peaked above 9%.
- The Federal Reserve delayed rate increases until March 2022, when inflation was already above 8%.

Interpretation. The paper is not simply explaining high inflation. It is explaining why a fiscal shock became much more powerful when monetary policy temporarily did not respond aggressively.

2.2 Simplified theoretical economy

- The simple model has borrowers and savers.
- Borrowers are impatient, receive transfers, and issue nominal one-period debt up to a borrowing limit.
- Savers are patient, own government debt, supply labor, and are unconstrained.
- Firms produce New Keynesian output with nominal price rigidities.
- The government can either issue debt or redistribute from savers to borrowers.
- The central bank follows a rule that may respond actively or passively to inflation.

Interpretation. The simple model isolates the source of the amplification: inflation transfers wealth to nominal debtors, which raises borrower consumption, which creates more inflation when monetary policy is passive.

2.3 Quantitative economy

- The quantitative model replaces one-period debt with long-term nominal mortgage contracts.
- Borrowers hold housing and liquid deposits. Housing wealth is illiquid because refinancing is costly.
- Mortgages can be refinanced or defaulted on; refinancing costs create slow adjustment.
- Financial intermediaries hold mortgages and government debt and issue deposits and equity.
- The model adds downward nominal wage rigidity, allowing involuntary unemployment in recessions.
- The central bank sets the rate on reserves through a Taylor-style rule with a possible passive-interest-rate component.

Interpretation. The key quantitative distinction is between liquid wealth and illiquid mortgage wealth. Transfers increase liquid wealth immediately; inflation increases illiquid borrower wealth by reducing real mortgage debt, but the consumption response is slower.

2.4 Calibration data

- The externally calibrated parameters include TFP volatility and persistence, mortgage duration, origination loan-to-value, inflation target, monetary-policy coefficients, Basel-style capital requirements, risk aversion, labor supply elasticity, and borrower population shares.
- Jointly calibrated parameters target production, borrower balance sheets, mortgage refinancing behavior, intermediation spreads, and short-term government debt.
- Borrowers are identified in the Survey of Consumer Finances as households owning a home with loan-to-value above 40%.
- Borrowers account for roughly 65% of households and receive about 53% of aggregate income.
- The model targets a realistic liquid-wealth marginal propensity to consume and a much lower illiquid-wealth marginal propensity to consume.

Interpretation. The calibration is meant to reproduce three central facts: borrowers supply much of labor income, mortgages are large nominal liabilities, and liquid transfers generate much faster consumption responses than mortgage wealth gains.

3 Models and empirical specifications

3.1 Production and price setting

Final output is a CES aggregate of intermediate goods:

$$Y_t = \left(\int_0^1 Y_t(i)^{\frac{\eta-1}{\eta}} di \right)^{\frac{\eta}{\eta-1}}. \quad (1)$$

Intermediate goods are produced with capital and labor:

$$Y_t(i) = (Z_t n_t(i))^\alpha k_t(i)^{1-\alpha}. \quad (2)$$

Productivity follows

$$z_{t+1} = (1 - \rho_z)\bar{z} + \rho_z z_t + \varepsilon_{t+1}. \quad (3)$$

Interpretation. This is a standard New Keynesian production block. Nominal rigidity makes demand shocks translate into inflation and output movements.

3.2 Borrower budget in the simple model

The borrower issues nominal debt up to a fixed limit. If M_t is the real face value of debt borrowed at time t , borrower consumption satisfies

$$c_t^B = \frac{M_t}{1 + i_t} - \frac{M_{t-1}}{\Pi_t} + \theta_t. \quad (4)$$

When the borrowing constraint binds, $M_t = M^*$. If the constraint is slack, the borrower satisfies the Euler equation

$$(c_t^B)^{-\gamma} = (1 + i_t)\beta_B E_t \left[\frac{(c_{t+1}^B)^{-\gamma}}{\Pi_{t+1}} \right]. \quad (5)$$

Interpretation. Inflation raises borrower consumption because it reduces the real value of yesterday's nominal debt, M_{t-1}/Π_t .

3.3 Saver problem

Savers maximize utility over consumption and labor:

$$E_0 \sum_t \beta_S^t \left[\frac{(c_t^S)^{1-\gamma}}{1-\gamma} - \chi_0 \frac{(\ell_t^S)^{1+\chi_1}}{1+\chi_1} \right]. \quad (6)$$

The saver Euler condition is

$$(c_t^S)^{-\gamma} = (1 + i_t)\beta_S E_t \left[\frac{(c_{t+1}^S)^{-\gamma}}{\Pi_{t+1}} \right], \quad (7)$$

and labor supply satisfies

$$w_t (c_t^S)^{-\gamma} = \chi_0 (\ell_t^S)^{\chi_1}. \quad (8)$$

Interpretation. Savers are not liquidity constrained. Their consumption responds to the present value of future income, not only current transfers.

3.4 Fiscal and monetary rules

In the simple model, taxes respond to the real outstanding stock of government debt:

$$\tau_t = P_{t-1} \bar{\tau}_0 \left(\frac{B_{t-1}^G}{\bar{B}} \right)^{s_\tau}. \quad (9)$$

The government budget constraint is

$$B_{t+1}^G = \frac{1+i_t}{\Pi_t} B_t^G + \theta_t - \bar{\tau}_0 \left(\frac{B_t^G}{\bar{B}} \right)^{s_\tau}. \quad (10)$$

The central bank follows an inflation rule

$$1+i_t = (1+\bar{i}) \left(\frac{1+\pi_t}{\bar{\Pi}} \right)^{\phi_\pi}. \quad (11)$$

Interpretation. Monetary dominance corresponds to active monetary policy and taxes that stabilize debt. Fiscal dominance corresponds to passive monetary policy and fiscal policy that allows inflation to stabilize debt. Temporarily passive monetary policy has $\phi_\pi < 1$ for a short period before returning to monetary dominance.

3.5 Log-linear inflation amplification

The log-linear borrower budget condition has the form

$$c_{ss}^B \hat{c}_t^B = \frac{M^*}{\Pi_{ss}} \hat{\Pi}_t - \frac{M^* \phi_\pi}{I_{ss}} \hat{\Pi}_t + \theta_{ss} \hat{\theta}_t. \quad (12)$$

Interpretation. The first term is the debt-eroding effect of inflation. The second term is the offset from higher nominal rates tightening the borrowing constraint. If monetary policy is passive, the second term is weak and inflation amplifies redistribution.

3.6 Proposition-level implications

- **Debt issuance.** Raising government debt without transfers has no effect under monetary dominance or temporary monetary passivity. It raises inflation only under fiscal dominance.
- **Transfers.** Transfers to borrowers raise inflation. The effect is larger when the monetary-policy response to inflation is smaller.
- **Private debt stock.** The inflationary effect of redistribution increases with the outstanding stock of private debt because more nominal liabilities can be inflated away.
- **Future passivity.** If borrowers temporarily save part of a transfer, a lower future monetary-policy response raises the effect of today's transfers on today's inflation and consumption.

Interpretation. The theoretical novelty is that short-run monetary policy is central for redistribution but not for pure debt issuance. Temporary passivity can make redistribution much more stimulative even if long-run policy later returns to monetary dominance.

3.7 Quantitative household utility

Borrower utility in the quantitative model is

$$U^B(c_{i,t}^B, h_t^B, \ell_t^B) = u(c_{i,t}^B) + K_h^B u(h_t^B) - \chi_0^B v(\ell_t^B), \quad (13)$$

where $u(c) = c^{1-\gamma}/(1-\gamma)$ and $v(\ell) = \ell^{1+\chi_1}/(1+\chi_1)$. Saver utility is

$$U^S(c_t^S, h_t^S, d_{t+1}^S, n_t^S) = u(c_t^S) + K_h^S u(h_t^S) + K_d u(d_{t+1}^S) - \chi_0^S v(n_t^S). \quad (14)$$

Interpretation. Deposits enter saver utility because deposits provide liquidity services. Borrowers value housing, but mortgage refinancing frictions make housing wealth illiquid.

4 Model credibility and empirical design

4.1 What makes the model disciplined

- The paper separates externally calibrated parameters from jointly estimated parameters.
- External parameters are set using standard values or direct empirical counterparts.
- Jointly calibrated parameters match model moments to data moments from pre-Covid U.S. data.
- Mortgage refinancing elasticities are calibrated using empirical estimates from mortgage refinancing studies.
- The model is tested against known MPC evidence: liquid transfers create a high short-run MPC, while mortgage debt relief creates a smaller and more persistent response.

Interpretation. The model is credible because it is not chosen only to match the post-Covid boom. It first matches balance sheets, refinancing, interest rates, and consumption-response facts.

4.2 Why the policy experiments matter

- The experiments separately turn on transfers, temporarily passive monetary policy, and both policies together.
- This isolates whether inflation comes from fiscal policy alone, monetary policy alone, or their interaction.
- The experiments also compare unemployment insurance to broad transfers plus passive monetary policy during a demand-driven recession.
- The longer-passive-monetary-policy experiment shows how expectations of future monetary passivity affect current inflation and output.

Interpretation. The paper's main claim is an interaction claim: the post-Covid-style inflationary boom is not produced by either policy in isolation.

4.3 What the paper cannot fully prove

- The paper is a calibrated structural model, not a quasi-experimental empirical design.
- The Covid episode involved many other shocks, including supply disruptions, sectoral restrictions, fiscal programs, and expectations shifts.
- Some model features, such as wage rigidity, mortgage refinancing costs, and passive-policy duration, are simplified relative to the real economy.
- The model focuses on the mortgage and deposit redistribution channels and does not fully model all pandemic-era fiscal programs.

Interpretation. The paper should be read as a mechanism and quantification paper: it demonstrates how private nominal debt can make fiscal-monetary interactions powerful enough to resemble the post-Covid boom.

5 Tables and figures

5.1 Propositions 1–3: theory mechanism

Read:

- Proposition 1 says pure government-debt issuance has no effect under monetary dominance or temporary monetary passivity, but creates inflation under fiscal dominance.
- Proposition 2 gives the inflation and consumption response to redistributive transfers. The response grows as monetary policy becomes less responsive to inflation.
- Proposition 3 extends the mechanism to the case where borrowers temporarily save part of a transfer. Future monetary passivity raises the present effect of transfers.

Economic message. These propositions show that redistribution and debt issuance are fundamentally different fiscal policies. Redistribution is amplified by short-run monetary passivity because it immediately moves resources to high-MPC borrowers.

Proposition 1. *If the fiscal authority increases debt B_t^G without providing additional transfers θ_t to the borrower, this has no impact on inflation or consumption under the monetary dominance regime or with temporarily passive monetary policy. Under the fiscal dominance regime, this debt issuance causes positive inflation, and the quantity of inflation is increasing in the stock of outstanding private debt. [Appendix Eq. \(123\)](#) explicitly shows this policy's impact.*

Next, in [Appendix B.3.2](#), we prove the following result on the impact of redistribution from savers to borrowers. This makes a key point: the current monetary policy rule is what primarily determines the impact of redistribution to impatient borrowers. In contrast, [Proposition 1](#) showed that the impact of changes in the stock of debt held by patient savers depends only on the long-run policy rule. Existing quantitative work ([Bhattarai et al., 2023](#); [Bianchi et al., 2023](#)) on the inflationary impact of post-Covid redistribution examines changes in long term policy rules related to the sustainability of government debt. Our work shows that even temporarily passive monetary policy in a setting where all government debt is backed by taxes can result in a surge in inflation.

Proposition 2. *1. Under the monetary dominance regime or with temporarily passive monetary policy, the impact of transfers θ_t on inflation is given by (with $q_B = \frac{M^*}{\pi_{ss}} \Pi_{ss} (1 - \beta_S \phi^*)$):*

$$\hat{\pi}_t = \frac{\kappa f_B \chi_1 \theta^*}{1 - \kappa \chi_1 f_B q_B + (\kappa[\gamma + \chi_1 f_S]) \frac{\phi^*}{\gamma}} \hat{\theta}_t. \quad (23)$$

The responses of saver and borrower consumption are

$$\hat{c}_t^S = -\frac{\phi^*}{\gamma} \hat{\pi}_t \quad (24)$$

$$\hat{c}_t^B = q_B \hat{\pi}_t + \theta^* \hat{\theta}_t. \quad (25)$$

These expressions still hold if $\phi^ < 1$ for one period in the temporarily passive monetary policy regime.*

2. In the fiscal dominance regime, the same expressions show the impact of providing the same transfers $\hat{\theta}_t$ at time t , combined with additional debt issuance such that next period's real debt B_{t+1}^G remains unchanged relative to the no-transfer baseline. Because borrowing increases inflation, pure redistribution without additional borrowing has a strictly larger impact on inflation than implied by these expressions.

Original paper excerpts: Proposition 1 and Proposition 2.

consider the impact of transfers θ_t at time t under the assumption that interest rates are held fixed at time t , perhaps due to the monetary policy being constrained by the zero-lower bound. In addition, at time $t + 1$ we allow for a monetary coefficient ϕ^* that differs at time $t + 1$ from a longer-term monetary dominance regime. We prove the following result in [Appendix B.4](#):

Proposition 3. *Suppose the borrower receives additional transfers $\hat{\theta}_t$, when it voluntarily chooses to save some of its income. The lower the monetary policy response ϕ^* is at time $t + 1$, the greater the increase in inflation and consumption caused by these transfers at time t .*

This result is related to but distinct from the classic ([Feynman, 1998](#)) result that lowering rates in the future can increase consumption when the

Original paper excerpt: Proposition 3.

5.2 Tables 1–2: calibration

Read:

- Table 1 lists externally calibrated parameters, including TFP volatility, mortgage maturity, mortgage yield, refinancing rate, inflation target, monetary-policy coefficients, capital requirements, risk aversion, and borrower population shares.

- The quarterly inflation target is $\bar{\Pi} = 1.005$, corresponding to roughly 2% annual inflation.
- The mortgage prepayment parameter implies a 30-year mortgage duration, and the origination LTV is set to 0.85.
- Table 2 reports jointly calibrated parameters and matched moments. It targets labor income shares, borrower balance sheets, refinancing behavior, cash-out behavior, intermediation spreads, and short-term government debt.
- Borrowers account for about 53% of income and 65% of households in the calibration.

Economic message. The calibration makes the quantitative model a borrower-saver mortgage economy, not a generic New Keynesian model. It is designed to make nominal mortgages and household balance sheets quantitatively meaningful.

Table 1

Externally calibrated parameters.

Par	Description	Value	Source
Stochastic environment			
σ_z	TFP volatility	0.015	Vol. Ham. filtered TFP (Fernald, 2012)
ρ_z	TFP persistence	0.87	AC(1) Ham. filtered TFP (Fernald, 2012)
σ_ϵ	SD of log idios. income	0.275	Güvenen et al. (2014)
Housing and mortgages			
δ^h	Housing maintenance	0.005	BEA residential capital deprec.
q^m	Mortgage face value	1	Normalization
ι	Mortgage yield	0.0147	Set such that $q^m = 1$
δ^m	1-Repayment rate	0.991	30-year mortgage duration
ζ	Foreclosure loss	0.30	Campbell et al. (2011)
θ	LTV at origination	0.85	Modal value in data
Government			
θ	Average transfers/GDP	0.034	BEA transfer payments
π	Inflation target	1.005	Annual target 2%
ϕ^a	Mon. pol. rule inflation coefficient	2	Standard value
ϕ^b	Mon. pol. rule output coefficient	0.125	Annual coefficient 0.5
ϕ^k	Capital requirement reserves	0.03	Supplementary leverage ratio
$\bar{e}$	Capital requirement mortgages	0.08	Basel regulation
Preferences			
γ	CRRA risk aversion	2	Standard value
χ_1	Inverse Frisch elasticity	2	Chetty et al. (2011)
Population and income			
φ	Population share borrowers	0.646	2019 SCF (see text)
φ^s	Borrower share of transfers	0.367	2019 SCF (see text)
x_0^s	Saver labor disutility	289.2	Normalize $E[Y_t] = 1$

(a) Table 1: externally calibrated parameters.

Table 2

Jointly calibrated parameters.

Moment	Par.	Value	M (%)	D (%)	Source
Production and savers					
Marginal cost/revenue	η	7	86	86	van Vlietkoven (2020)
Inflation response	ζ	15	-0.20	-0.21	Bauer and Swanson (2023)
Labor income/GDP	α	0.7	60	63	BLS labor share
Real Federal Funds rate	β_S	0.99	0.93	0.98	FFR net of CPI inflation 1952-2019
Deposit convenience yield	ψ	0.12	0.32	0.32	FFR-time deposit spread (DSS 2017, 94-14)
Borrowers and housing					
Borrower income share	λ_B^B	3.16	52	53	2019 SCF (see text)
House value/income	K_B^H	0.35	849	845	2019 SCF (see text)
Borr. house value/income	K_B^H	0.46	668	681	2019 SCF (see text)
Borr. deposits/income	β_B	0.97	33	32	2019 SCF (see text)
Avg. re-optimization rate	μ^h	2.5	4.21	4.20	Gerardi et al. (2023) & 2019 HMDA
Fraction cash-out + purchase	μ^{cr}	0.6	67	64	2019 HMDA
Re-optimization elasticity	σ^h	1.2	0.28	0.23	Gerardi et al. (2023)
Cash-out elasticity	σ^{cr}	0.7	0.40	0.51	Ibarría and Keys (2016)
Minimum consumption	$\bar{c}$	0.156	33	33	2023 Poverty threshold/income
Intermediaries					
Intermediation cost	ν	0.077	0.45	0.42	Spread prime mortgage over 10y treas.
Government					
Short-term gov. debt/GDP	$\bar{r}_0$	0.046	112	115	(Reser.+Tbills)/GDP in Q4 2019 (quarterly)

(b) Table 2: jointly calibrated parameters and moments.

5.3 Figure 1: intertemporal MPCs and MPEs

Read:

- The blue line shows the response to a liquid deposit transfer. Borrower consumption rises strongly on impact and then falls quickly.
- The red line shows the response to a reduction in mortgage debt. The response is smaller on impact but much more persistent.
- The model delivers an impact MPC out of deposits of about 19.6% and an impact MPC out of mortgage debt relief of about 2.9%.
- The labor-supply response is also very different: liquid transfers reduce labor earnings quickly, while mortgage relief has a slower but persistent labor-supply effect.

Economic message. Liquid transfers generate fast demand stimulus. Inflation-induced mortgage debt relief generates slower but longer-lasting wealth effects because mortgage wealth is illiquid.

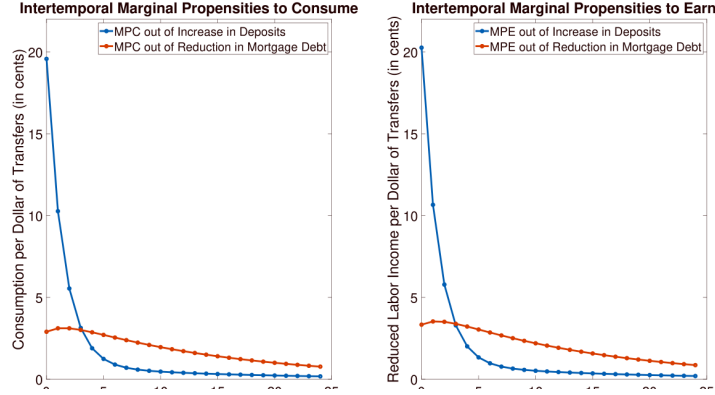


Figure 1: dynamic responses of borrower consumption and labor earnings to transfers.

5.4 Figure 2: fiscal stimulus and passive monetary policy

Read:

- Transfers alone raise borrower consumption but do not create a large inflation surge.
- Passive monetary policy alone is not enough to create a post-Covid-style boom.
- The combination of transfers and passive monetary policy produces a large inflation surge of around 10%.
- The joint policy reduces the real value of mortgage debt by nearly 30% and deposits by roughly 20%.
- Borrower consumption and borrower house prices rise, while saver consumption and saver house prices fall.

Economic message. The core result is interaction: fiscal redistribution and temporary monetary passivity are much more powerful together than separately.

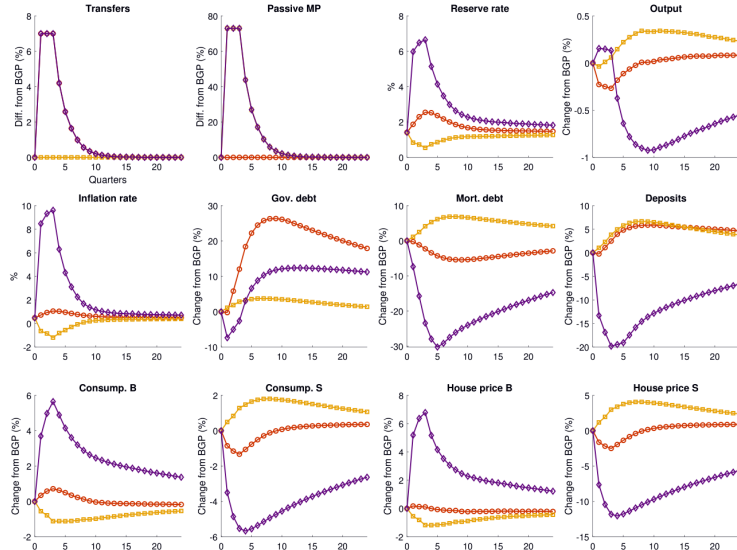


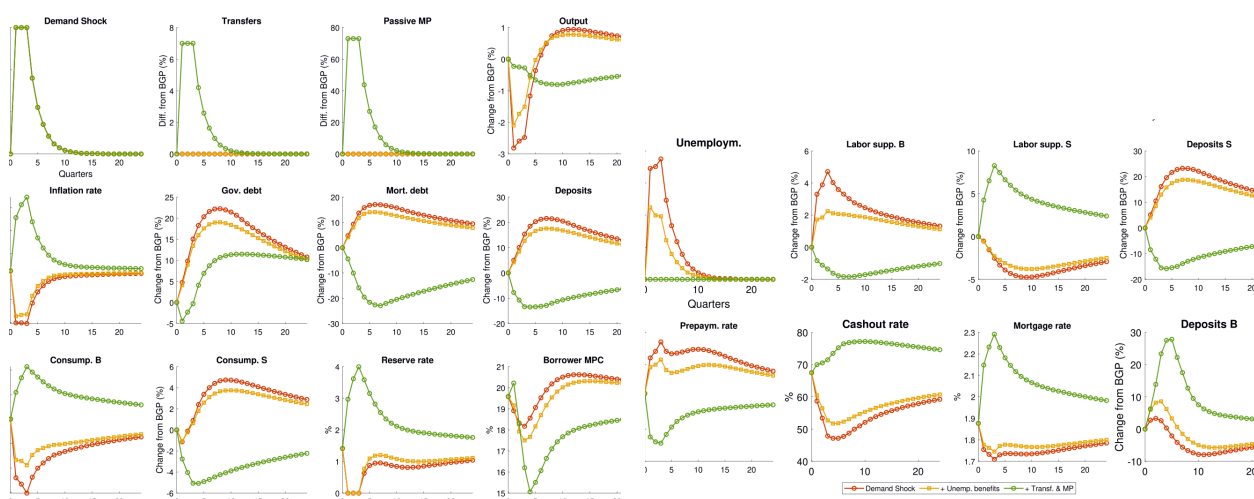
Figure 2: interaction of fiscal stimulus and passive monetary policy.

5.5 Figures 3–4: demand shock and policy response

Read:

- Figure 3 studies a demand-driven recession caused by higher household patience and lower consumption demand.
- The demand shock alone causes output to fall, the zero lower bound to bind, and unemployment to rise.
- More generous unemployment benefits help but do not fully eliminate the recession.
- Adding transfers and passive monetary policy eliminates unemployment and raises inflation.
- Figure 4 shows the same experiment for labor supply, deposits, prepayment, cash-out refinancing, mortgage rates, and borrower deposits.
- Under the joint fiscal/monetary response, saver deposits fall in real value while borrower deposits rise; mortgage rates rise and prepayment rates fall because expected inflation is priced into mortgage markets.

Economic message. The joint policy can prevent a demand-driven recession, but it does so by generating redistributive inflation and altering mortgage-market behavior.



(a) Figure 3: output, inflation, debt, deposits, consumption, reserve rate, MPC. (b) Figure 4: unemployment, labor supply, deposits, prepayment, cash-out, mortgage rates.

5.6 Figure 5: longer-term passive monetary policy

Read:

- Figure 5 extends the passive monetary-policy period after the same initial fiscal transfer shock.
- Longer expected passivity raises inflation and output more strongly in the short run.
- Inflation peaks around 13% in the longer-passivity experiment, compared with roughly 8% in the shorter joint-policy case during the recession exercise.
- Mortgage debt and deposits fall more in real terms, and borrower consumption and house prices rise more.
- The later decline in output is also larger because the persistent redistribution lowers borrower labor supply.

Economic message. Expectations of future monetary passivity matter today. A promise, or perceived willingness, to remain passive raises the present stimulative effect of fiscal redistribution.

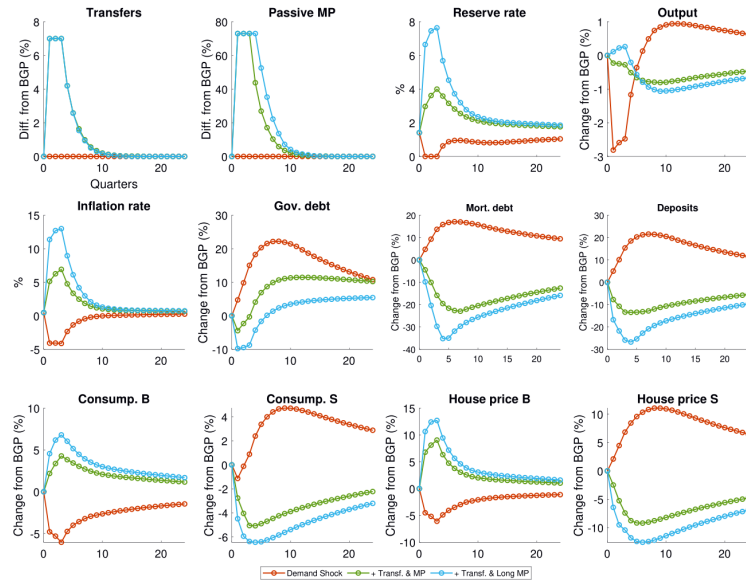


Figure 5: responses with longer-term passive monetary policy.

6 Short summary

- The paper studies fiscal-monetary stimulus in an economy with borrowers, savers, nominal mortgages, and New Keynesian price rigidity.
- Transfers to borrowers are powerful because borrowers have high MPCs.
- Temporarily passive monetary policy is powerful because it allows inflation to rise rather than immediately offsetting demand.
- Inflation redistributes from savers to borrowers by reducing the real value of nominal mortgage debt and deposits.
- Government debt issuance and redistribution have different transmission mechanisms.
- Pure debt issuance matters mainly under fiscal dominance; transfers matter under temporary monetary passivity even when long-run monetary dominance returns.
- The quantitative model matches pre-Covid mortgage, household balance sheet, refinancing, and MPC facts.
- Liquid transfers generate fast borrower consumption responses.
- Mortgage debt relief generates slower but persistent consumption and labor-supply responses.
- In the main quantitative experiment, neither transfers nor passive monetary policy alone creates large inflation, but together they produce a large post-Covid-style inflation surge.
- During a demand-driven recession, unemployment insurance helps, but the combined transfer/passive-monetary-policy response is strong enough to eliminate unemployment in the model.
- Longer monetary passivity raises the inflation and output response but also increases later output costs through lower borrower labor supply.
- The central lesson is that private nominal debt, not only government debt, matters for fiscal-monetary interactions.

7 Conclusion

7.1 Core conclusion

Diamond, Landvoigt, and Sánchez Sánchez show that redistribution and temporary monetary passivity can jointly produce a large inflationary boom when households hold nominal mortgage debt. Inflation itself becomes an additional redistribution policy because it reduces the real value of fixed-rate mortgage liabilities.

7.2 Economic intuition

Transfers move liquid resources to borrowers, who spend them quickly. If the central bank does not promptly raise rates, the extra demand generates inflation. Inflation then reduces borrowers' real mortgage debt, raising their net worth and reinforcing the demand effect. Because mortgage wealth is illiquid and refinancing is costly, this second channel is not immediate, but it is persistent.

7.3 Takeaway

The paper reframes the post-Covid boom as a fiscal-monetary-household-finance interaction. A fiscal transfer shock is much more powerful when monetary policy is temporarily passive and when households hold large nominal mortgage debts. The broader lesson is that macro policy cannot be evaluated without the household balance sheet: private nominal liabilities change who gains from inflation and how stimulus propagates through the economy.